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You, Inc.

“...I am technically broke because I have little money in the bank, I owe money on my credit cards, and I have no retirement savings....”

Myth #1

Let's go back to the very beginning of financial life and let me introduce an entity called You, Inc. This is a small, tightly controlled, privately held company with the bulk of its productive assets invested in nontraded units of your future salary and wages. Your objective as CEO, CFO, and chairman of the board is to maximize shareholder value of You, Inc. while minimizing the financial risks faced by the corporation.

In fact, the financial and risk management strategies plotted in corporate boardrooms of large businesses can be applied to the management of your daily finances. Like any corporate executive, you must take a long-term view when making financial decisions, but at the same time, you have to monitor and control the risks that You, Inc. faces over your entire lifecycle.

The Wall Street Journal doesn't report on the activities of You, Inc. very often, but its corporate history is well known: You, Inc. started life as a subsidiary of a larger company called Parents, Inc., and, for much of its first two decades, You, Inc. was an asset (or liability) on Parents, Inc.'s balance sheet. In purely financial terms, Parents, Inc. likely found You, Inc. to be a poor investment: According to conservative estimates, parents spend at least \$100,000 on a child during the first 18